DavidsonKempner

Davidson Kempner Capital Management, LP
Comments on the Request for Information on the Development of
an Artificial Intelligence (AI) Action Plan

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I. Executive Summary

Davidson Kempner Capital Management, LP ("Davidson Kempner" or "DKCM") appreciates the opportunity to provide its comments in response to the Request for Information on the Development of an Artificial Intelligence (AI) Action Plan issued by the Networking and Information Technology Research and Development (NITRD) National Coordination Office (NCO) on behalf of the Office of Science and Technology Policy (OSTP), regarding priority actions that should be included in that AI Action Plan. DKCM is a global investment management firm headquartered in New York, with a significant investment in Portuguese-based Start Campus, a company developing the largest AI-scale data center campus in Europe – the entire campus is ready-to-build and primarily targeting customers headquartered in U.S. and European markets.

DKCM supports the United States' efforts to address national security concerns with respect to exports of advanced computing items for use in data centers abroad. However, DKCM is concerned that the disparate treatment of Portugal vis-à-vis other European countries under the Framework for Artificial Intelligence Diffusion (AI Diffusion Rule),[1] published by the U.S. Department of Commerce's Bureau of Industry and Security (BIS) at the end of the prior administration, will unnecessarily restrict U.S. companies' ability to locate their advanced compute capacity in Portugal – a country that provides an otherwise ideal environment and secure location for facilitating U.S. companies' AI-related initiatives while protecting U.S. national security interests.

Portugal's status as a "Tier 2" country, which has a more restrictive licensing regime under the AI Diffusion Rule for advanced computing integrated circuits (ICs) for data center uses,[2] is inconsistent with the Trump Administration's stated policy objectives of eliminating unnecessarily burdensome requirements for companies developing and deploying AI that would stifle private sector innovation and threaten American technological leadership. Those restrictions are also inconsistent with the standards set forth in the Export Control Reform Act (ECRA), 50 U.S.C. §§ 4801-4852, which provided the authority under which the AI Diffusion Rule was issued[3] and which dictates that controls be narrowly tailored to avoid negatively affecting U.S. leadership and competitiveness in science, technology, engineering and manufacturing. In crafting the AI Action Plan, DKCM encourages OSTP to consider that U.S. national security interests would be better

[1] Framework for Artificial Intelligence Diffusion, 90 Fed. Reg. 4544 (Jan. 15, 2025).

[2] See, e.g., 15 C.F.R. §§ 742.6, 740.27.

[3] Export Control Reform Act of 2018, Pub. L. No. 115-232, 132 Stat. 1639 (2018).

served by revising and adding Portugal to the existing list of "Tier 1" countries (countries under the rule which benefit from more permissive licensing for advanced computing ICs and are currently listed in supplement no. 5 to part 740 of the Export Administration Regulations (EAR) (15 C.F.R. Parts 730 – 774)).

The AI Diffusion Rule was published in the last week of the prior presidential administration without any identified stakeholder engagement. We understand that the decision of which countries to include in Tier 1 was highly political and decided at the highest levels of the U.S. government. There is no explanation provided for why Portugal was not included in Tier 1.

Leaving Portugal out of Tier 1 will pose a significant disadvantage for U.S.-owned and controlled data centers and will deprive U.S. companies of a safe, secure location to house their advanced compute capacity. Instead of strengthening U.S. supply chains, it would cut off U.S. goods and services from global large-scale data center projects. Moreover, it undermines U.S. economic growth, hinders job creation, and weakens U.S. leadership in AI and influence in key global markets. Ultimately, these burdensome restrictions on Portugal, and by extension, Start Campus, will be detrimental to U.S. national security and technology leadership, particularly in the AI sector. Overall, the tiered system will undermine U.S. leadership in the sector by cutting off U.S. goods and services from global large-scale data center projects.

Regardless of whether the Trump administration maintains the tiered system, or adopts an alternative regulatory model, **Portugal is integral to U.S. leadership in AI with a geographically secure location to house data centers, safeguards against diversion and misuse of advanced models, and direct access to the U.S. via secure subsea cables**.

Our comments outline why Portugal should be treated like current Tier 1 European countries under the AI Diffusion Rule. This could be accomplished by: (i) moving Portugal from Tier 2 to Tier 1; (ii) removing the tiered system and providing a more permissive licensing regime for all Country Group A:5 countries -- including all European Union (EU) Member States, without country-specific caps and geographic allocation restrictions; or (iii) revising the current Tier 1 and Tier 2 country grouping to align with the Trump Administration's foreign policy and national security objectives, including a more permissive licensing structure for all EU Member States.

II. Background

A. Introduction to Davidson Kempner

DKCM is a U.S.-headquartered global investment management firm with over 40 years of experience and a focus on fundamental investing with a multi-strategy approach. The firm manages approximately $35 billion in assets and employs more than 500 professionals across seven offices worldwide, including its headquarters in New York.[4]

[4] Numbers as of January 1, 2025; https://www.davidsonkempner.com/approach

A significant portion of DKCM's capital is long-term, reflecting the firm's commitment to sustainable growth, and includes investment from U.S.-based pension funds, endowments, investment trusts, funds of funds, and individuals. Its diversified and flexible investment platform is supported by a four-decade track record of executing complex transactions. DKCM has developed market-leading platforms from early-stage or *de novo* positions, particularly in the energy, digital transformation, and infrastructure sectors.

DKCM has been actively investing in the U.S. since its inception in 1983. The firm has over 300 employees in New York and Philadelphia and $21 billion capital invested in the U.S.[5] DKCM has demonstrated a strong commitment to supporting U.S. economic growth, innovation and competitiveness through strategic investments across various sectors.

B. Davidson Kempner in Portugal

DKCM is one of the largest foreign financial investors in Portugal and has been invested in the country since 2019. Its track record includes the largest AI-scale data center campus in Europe – Start Campus.

Backed by DKCM, Start Campus' SINES data center (the "SINES DC") is set to become Europe's largest and most sustainable data center campus, redefining the future of global digital infrastructure. The total investment is expected to reach c. $40 billion, of which c. $9+ billion will be applied to construction and development by Start Campus and c. $30 billion will be applied to advanced computing ICs and equipment installed in the SINES DC by Start Campus' customers – **Start Campus, backed by DKCM, is primarily targeting customers headquartered in the U.S. and Tier 1 European markets**. The campus' first building has been operational since October 2024 and is already home to AI/high-performance computing workloads. Start Campus is preparing to break ground on its second building in 2025, and four additional buildings will be delivered by 2030, for a total IT capacity of the campus of 1.2 GW.

III. Trump Administration AI Policy, AI Diffusion Rule Policy, and Related Statutory Authority

On January 23, 2025, President Trump took action to "Remove Barriers to American Leadership in Artificial Intelligence", with the policy objective "to sustain and enhance America's global AI dominance in order to promote human flourishing, economic competitiveness, and national security."[6] This policy objective recognized that "the United States has long been at the forefront of artificial intelligence (AI) innovation, driven by the strength of our free markets, world-class research institutions, and entrepreneurial spirit." As further explained in its accompanying White House "Fact Sheet", that presidential action was taken in an effort to eliminate "unnecessarily burdensome requirements for companies developing and deploying AI that would stifle private sector innovation and threaten American technological leadership."[7].

[5] Company information as of December 31, 2024.

[6] Removing Barriers to American Leadership in Artificial Intelligence, Exec. Order No. 14179 (2025).

[7] White House Fact Sheet: President Donald J. Trump Takes Action to Enhance America's AI Leadership, January 23, 2025.

On February 6, 2025, on behalf of OSTP, the NITRD NCO issued a request for information (RFI) from all interested parties on the Development of an AI Action Plan (the Plan).[8] The Plan, as directed by the above-referenced Presidential Executive Order, is intended to "define the priority policy actions needed to sustain and enhance America's AI dominance, and to ensure that unnecessarily burdensome requirements do not hamper private sector AI innovation." This RFI likewise emphasized the Trump Administration's effort to eliminate regulation that "hampered the private sector's ability to innovate in AI by imposing burdensome government requirements restricting private sector AI development and deployment."

The RFI sought input on the highest priority policy actions that should be in the new AI Action Plan, including comments on any relevant AI policy topic, including but not limited to "hardware and chips, data centers," and "export controls", among other topics, with respondents encouraged to suggest concrete AI policy actions needed to address the topics raised. Here, DKCM proposes revisions to the AI Diffusion Rule to address "burdensome requirements" that "hamper private sector AI innovation" needed to "sustain and enhance America's AI dominance."

ECRA is the authority under which BIS issued the AI Diffusion Rule, and it requires the impact of implementation of new regulations on U.S. science and technology leadership to be evaluated and regulations to be tailored to avoid negatively impacting such leadership.

Similar to the Presidential Executive Order, ECRA § 4811(3) recognizes that "the national security of the United States requires that the United States maintain its leadership in the science, technology, engineering, and manufacturing sectors, including foundational technology that is essential to innovation. Such leadership requires that United States persons are competitive in global markets." Section 4811(3) further requires that, "the impact of the implementation of this subchapter on such leadership and competitiveness must be evaluated on an ongoing basis and applied in imposing controls under sections 4812 and 4813 of this title ***to avoid negatively affecting such leadership***." (emphasis added).

In other words, all regulations implemented under ECRA authority must involve an evaluation of the impact of U.S. leadership and competitiveness in science, technology, engineering, and manufacturing and must implement tailored controls that avoid negatively affecting such leadership.

Additionally, the AI Diffusion Rule, which implemented the tiered country system, was intended to accomplish the following policy objectives:

- **Reduce Diversion to Macau and Country Group D:5.** "This rule details a multi-part control structure aiming to both reduce the risk that countries of concern (Country Group D:5 and Macau) obtain the most advanced AI models and enable validated entities to access the benefits of those models, while protecting national security." In addition to the creation of Tier 1 and 2 described above, Country Group D:5 and Macau were placed in the most restrictive regulatory regime ("Tier 3") under the AI Diffusion Rule.

[8] Request for Information on Development of an Artificial Intelligence Action Plan, 90 Fed. Reg. 4544 (Jan. 15, 2025).

- **Implement Tailored Controls that Continue to Enable Economically and Socially Beneficial Uses of Advanced AI Models and Maintain U.S. Technological Leadership.** "BIS determined that U.S. national security and foreign policy require the regulation of the global diffusion of advanced AI models. However, such controls must be tailored to enable economically and socially beneficial uses of advanced AI models and to maintain U.S. technological leadership."
- **Facilitate International AI Development in a Way That Minimizes Risk to National Security.** "[D]ata centers play a vital role in global AI development, and the United States is committed to facilitating international AI development in a way that minimizes risk to national security."
- **Facilitate Transactions That Pose a Low Risk of Diversion or Would Otherwise Advance U.S. National Security or Foreign Policy Interests.** "First, this rule creates an exception in § 740.27 for all transactions involving certain types of end users in certain low-risk destinations. Specifically, these are destinations in which:
  (1) the government has implemented measures to prevent diversion of advanced technologies, and
  (2) there is an ecosystem that will enable and encourage firms to use advanced AI models to advance the common national security and foreign policy interests of the United States and its allies and partners."

As outlined further in **Section IV – VI** below, **the policy objectives of the Presidential Executive Order and the AI Diffusion Rule itself, and its enabling statutory authority, will be better achieved by inclusion of Portugal in Tier 1, than in Tier 2**. In particular, the below discussion addresses the negative effects on U.S. leadership and competitiveness in science, technology, engineering, and manufacturing – particularly with respect to America's global AI dominance – that arise from Portugal's inclusion in Tier 2, instead of Tier 1.

IV. <u>Comment 1</u>: The United States' Ability to Fully Pursue and Benefit from AI-Related Initiatives Will Be Negatively Impacted by Portugal's Status as a Tier 2 Country, as It Will Severely Affect Data Center Capacity Available to U.S.-Headquartered AI-Related Companies.

A. The Inclusion of Portugal in Tier 2 Imposes Barriers to Expansion for U.S. AI Companies, Thereby Depriving Them of a Safe, Secure Location for Housing Their Growing Advanced Computing Needs.

As AI demand accelerates, AI industry leaders require global capacity at scale and speed. SINES DC is one of the few data center campuses worldwide – and one of the only ones in Europe – that can meet these substantial requirements today, as it stands out as one of the most ready-to-build data center projects in development.

DKCM's SINES DC is not the sole data center in Portugal. All other AI-focused data centers in Portugal are also U.S.-owned or U.S. controlled. Collectively, the Portuguese data center industry is expected to bring c. 1.5 GW of IT capacity online by 2030, catering primarily to customers headquartered in the U.S. and Tier 1 European countries.

Due to extended lead times required for data center development, AI companies are expected to increasingly rely on co-location facilities (such as those of Start Campus) to scale their AI capacity. The tech industry is projected to invest over $200 billion in AI infrastructure annually by 2028,[9] and this investment will not be limited solely to hyperscaler-owned data centers. Infrastructure-light AI players, such as cloud service providers ("CSPs") and graphics processing unit (GPU)-as-a-Service ("GPUaaS") firms, will continue to depend on third-party AI infrastructure to deploy their advanced computing ICs efficiently. This trend highlights the shift toward leveraging external data center resources, such as data center developers, to meet the rapidly expanding needs of the AI sector.

Furthermore, the emergence of new and less-constrained data center locations is critical to meet this AI demand in a timely manner. Due to market saturation, power-constraints and prohibitive power costs to operate in traditional markets and to match the pace of AI deployments required by U.S. companies, an increasing number of data center development is done outside traditional data center markets where land, power and connectivity are available. For this reason, Portugal is an ideal location for data center development.

However, by restricting exports of critical AI components to Tier 2 countries or imposing limitations on their availability in those countries, like Portugal, the AI Diffusion Rule creates significant constraints and uncertainty for U.S. AI-related companies by restricting their ability to secure the necessary third-party infrastructure at scale, in a timely manner, and in locations best suited for their deployments. By facing barriers to access strategically located and ready-to-deploy infrastructure, this will not only hinder their global expansion plans but also encourage them to consider potentially less optimal jurisdictions and facilities for their operations. Similarly, these barriers may also negatively affect the growth of newer U.S. AI players, such as neo-clouds and GPUaaS companies, which require scalable, high-speed solutions that align with their vision, fast-paced growth and market demands.

B. The Inclusion of Portugal in Tier 2 Presents Unintended Consequences for DKCM-Owned Start Campus, Harming Both Current and Future U.S. Investment in AI-Related Projects.

DKCM's SINES DC campus will be AI-ready and purpose-built to meet the growing demand for scalable, high-density infrastructure solutions in a strategic and secure location – Portugal.

As a data center developer headquartered in a Tier 2 country but primarily serving customers headquartered in the U.S. and Tier 1 countries, Start Campus's potential customers would face substantial restrictions, including limitations on the numbers and type of advanced computing ICs that can be deployed in Start Campus' facilities and prohibitions on the development of AI models.

[9] IDC, By 2028, IDC Forecasts AI Spending to Surpass $500 Billion, Accounting for 20% of the Total Market Spending (Jan. 14, 2021), https://www.idc.com/getdoc.jsp?containerId=prUS52758624.

In turn, these restrictions would also indirectly harm U.S. companies like DKCM with significant existing and planned investment in Start Campus, as well as U.S. suppliers, as they dissuade potential customers from partnering with Start Campus.

1. Start Campus' Inability to Leverage Its Main Differentiators in the Market May Weaken Its U.S. AI Customers' Edge in Global AI Development.

Start Campus' competitive edge lies in the scale of its campus and its time-to-market – two differentiators that are fundamentally at odds with the constraints imposed on Tier 2 countries under the AI Diffusion Rule.

U.S. AI-related companies have large and growing deployment requirements, as evidenced by NVIDIA's recent results, which highlight a 142% year-on-year growth in data center revenue for fiscal year 2025, and highlight that leading U.S. technology companies are deploying advanced computing ICs in "cloud regions around the world to meet surging customer demand for AI".[10] Start Campus' SINES DC is designed and permitted to host c. 1,150,000 H100-equivalent advanced computing ICs, and offers the ability for its customers to scale over time within a single location. The 50,000-advanced computing IC-equivalent limit imposed under the standard export license is entirely unworkable, as it accounts for less than 5% of the advanced compute capacity that the Start Campus facility alone is designed to support.

Furthermore, SINES DC's ready-to-build status, and phased deployment of five additional buildings between 2025 and 2030, means that it will be able to accommodate these large quantities of advanced compute at a speed unmatched by most data center facilities worldwide. With the investment cycle for AI capacity by Start Campus' customers typically being two years, and customers commitments being typically secured 27–30 months before a building becomes operational, Start Campus estimates that 80% of its total capacity (c. 900,000 advanced computing ICs) should already be contracted by the end of 2027.[11]

However, the restrictions mean that U.S. AI-related companies cannot benefit from Start Campus' scale and time-to-market advantages – this can hinder their growth and edge in global AI development. In turn, this will also significantly harm DKCM-owned Start Campus' business: it not only risks losing opportunities in the current investment cycle, but if Start Campus cannot secure commitments from its customers for capacity now, it also risks missing the opportunity of contracting the full campus altogether, as clients will favor geographies where they are already established for the next investment cycle.

[10] "NVIDIA Announces Financial Results for Fourth Quarter and Fiscal 2025." *NVIDIA News*, February 26, 2025. https://nvidianews.nvidia.com/news/nvidia-announces-financial-results-for-fourth-quarter-and-fiscal-2025

[11] This is the end of the period covered by the existing AI Diffusion Rule caps on total processing performance (TPP). BIS has not identified specific TPP allocations after such date based on stated considerations with respect to the evolving nature of national security requirements, the geopolitical landscape, and the AI industry.

2. There Are No License Exceptions Available Under the AI Diffusion Rule That Are Compatible with Capacity Deployments by U.S. Customers in Start Campus' Data Center, Thereby Negatively Impacting U.S. AI Companies' Ability to Deploy in Critical Infrastructure at Scale.

As the owners of the advanced computing ICs, Start Campus' customers bear the burden of applying for export licenses or utilizing license exceptions. However, all potential license exceptions for advanced computing ICs under the AI Diffusion Rule are incompatible with the requirements of Start Campus' customers and Start Campus' business model, which is focused on large AI deployments. Therefore, absent moving Portugal into Tier 1, U.S. companies will by stymied in their ability to invest and scale their AI capacity in safe and secure data center infrastructure in Portugal.

The Universal Validated End User (UVEU) status does not provide the necessary comfort to those companies it is targeted at. This program (which could allow Start Campus' customers to deploy up to 7% of their global compute capacity in Portugal) theoretically provides some flexibility, however, in practice, it fails to reassure U.S. AI customers. Companies that are eligible for UVEU status may be reluctant to move forward with expansion and deployment plans, citing concerns over Tier 2 designations, including that of Portugal. This is evident in public statements from major industry players, such as Microsoft, which has explicitly stated in an open letter dated February 27, 2025, that the country tiering is impacting its business decisions.[12]

Additionally, while UVEU status may be suitable for large corporations with geographically diversified operations, it is not an effective model for the majority of U.S. companies operating in the AI space that could be potential customers of Start Campus. For example, for a U.S.-based company with a smaller advanced computing IC inventory than a hyperscaler and with no prior international footprint, the 7% cap under the UVEU status means that they cannot consider Portugal or any Tier 2 country as their "launchpad" for large and ambitious global operations. This limits U.S. AI companies' ability to assert global dominance.

The National Validated End User (NVEU) status is also not an alternative that fully alleviates concerns for Start Campus' customers, as it presents additional roadblocks. The NVEU status provides for intergovernmental agreements to be in place before any Start Campus' customer receives NVEU status, yet there is no transparency around these assurances, nor can Start Campus control their implementation. In addition, the c. 320,000-advanced computing IC cap under this status accounts for less than 30% of SINES DC's total capacity. Furthermore, these limits reach their maximum level in Q1'27 before being held flat for the remainder of 2027 and there is no guidance on limits beyond 2027, potentially discouraging long-term commitments from customers and preventing them from strategically planning for scalable growth within a single location. This uncertainty severely limits the U.S. AI companies' ability to plan and secure their deployments, which is crucial for them to gain an edge in the global AI race.

[12] Microsoft, Trump Administration's Role in the Global AI Race (Feb. 27, 2025), https://blogs.microsoft.com/on-the-issues/2025/02/27/trump-administration-ai-global-race.

Other license exceptions contemplated by the AI Diffusion Rule for U.S. companies looking to locate their advanced compute capacity in Portugal do not apply for the workloads and type of facility that U.S. AI companies seek, and that Start Campus is designed for. For example, License Exception Low Processing Performance (LPP)[13] is irrelevant for U.S. AI companies looking to deploy at Start Campus, given the sheer scale of the SINES DC campus. Exceptions related to less powerful ICs (e.g., License Exceptions Notified Advanced Computing (NAC), and Advanced Computing Authorized (ACA))[14] are also not viable, as all of Start Campus' discussions with potential customers center around the deployment of advanced computing ICs.

As such, none of the licence exceptions contemplated by the AI Diffusion Rule seem to provide the right pathways to U.S. AI companies to assert and expand their global AI dominance in facilities such as SINES DC.

3. Regulatory Complexity and Business Perception Are Major Deterrents for U.S. Customers to House Their Advanced Computing ICs in Start Campus' Data Center, Which Otherwise Provides an Ideal Location to Host U.S. Advanced Compute Capacity.

The need to secure a UVEU or NVEU authorization or a license to send larger quantities of advanced computing ICs to Portugal, when no such effort is required for Tier 1 locations, creates a fundamental disincentive. As Start Campus does not own the advanced computing ICs, it cannot apply for UVEU or NVEU authorization itself; this responsibility therefore falls on its customers, the U.S. AI companies. Multiple AI companies have consistently expressed that navigating this complexity is not worth the effort when they can deploy in Tier 1 markets without these regulatory burdens. This sentiment has been confirmed in direct feedback from prospective customers.

Based on all the above, the AI Diffusion Rule, as currently structured, presents substantial challenges for DKCM's Start Campus as the infrastructure provider for advanced compute capacity and the related needs of U.S. companies to facilitate their AI-related initiatives in a secure location. The standard export license is wholly inadequate, while the available license exceptions and VEU program introduce complexity, uncertainty, and business risks that deter customers from committing to this site. As a result, Portugal's Tier 2 classification is not just a theoretical hurdle – it has a tangible, negative impact on Start Campus' ability to attract clients and address their demand despite the suitability of its offer to their needs.

For the United States to remain competitive in the AI industry, the AI Diffusion Rule must accommodate high-scale deployments in new markets which present all the features and secure environments that the leading U.S. AI companies seek, and ensure that companies like Start Campus can support the growing demand for AI infrastructure without artificial constraints.

[13] 15 C.F.R § 740.29.

[14] 15 C.F.R. § 740.8.

V. Comment 2: Leaving Portugal Out of Tier 1 Will Hinder U.S. Growth in the AI Sector, Including Inhibiting U.S. Supply Chains and U.S. Job Creation.

Data centers are critical infrastructure that drive significant economic growth in the United States by creating jobs and fostering innovation – even when the data centers themselves are located outside the United States.

As highlighted in Microsoft's open letter referenced above, AI export restrictions affect far more than the advanced computing IC industry. U.S. companies are deeply involved in the development of both their own and third-party data center infrastructure worldwide, which underpins the operations of all leading U.S. AI companies. This global expansion benefits U.S. businesses, including manufacturers of data center equipment and service providers in design, engineering, and construction.

Portugal and SINES DC is no exception: with c. $40 billion of planned investment, U.S. companies will be instrumental to DKCM's Start Campus and the broader US-backed data center ecosystem in Portugal.

Start Campus' development activities, expected to total c. $9+ billion, involve a broad range of U.S. consultants, contractors, and service providers that bring their unparalleled AI expertise. Portugal's data center industry, including SINES DC, will also heavily rely on U.S. suppliers for the mechanical and electrical equipment. The development of Start Campus' project has already unlocked noteworthy business opportunities for U.S. companies and their U.S. teams in Portugal. In addition to business opportunities, involvement from U.S. firms in the design and construction of data centers helps ensure that international industry standards are shaped in alignment with U.S. benchmarks.

By supporting the deployment of c. 1,150,000 H100s-equivalent GPUs by its customers, Start Campus will also indirectly support the activities of U.S.-based advanced computing IC manufacturers, generating an estimated c. $30 billion of revenues for these companies and supporting U.S. job creation. As NVIDIA stated in their open letter dated January 13, 2025[15]: "Built on American technology, the adoption of AI around the world fuels growth and opportunity for industries at home and abroad."

However, restricting exports of advanced computing ICs will have a direct and widespread impact on U.S. supply chains, cutting off U.S. manufacturers, engineers, and technology providers from global large-scale data center projects. By limiting international demand for advanced compute capacity and related infrastructure, these restrictions risk slowing innovation and diminishing U.S. leadership in AI.

Moreover, the approach outlined in the AI Diffusion Rule appears to contradict the Trump Administration's call for European companies to increase their purchases of U.S. goods and services. Instead of increasing U.S. exports, overly restrictive export controls on Portugal would

[15] NVIDIA, Statement on the Biden Administration's Misguided 'AI Diffusion' Rule (2025), https://blogs.nvidia.com/blog/2025/02/statement-biden-administration-ai-diffusion-rule/.

undermine economic growth, hinder job creation, and weaken U.S. influence in that key global market without advancing U.S. national security interests.

VI. Comment 3: The U.S. AI Industry Can Benefit from Portugal's and Start Campus' Measures to Prevent Diversion of Advanced Technologies and Foster a Secure Ecosystem for Advanced AI Models. Leaving Portugal Out of Tier 1 Unnecessarily Restricts U.S. Industry's Ability to Take Advantage of This.

In light of U.S. national security concerns associated with advanced computing ICs, U.S. companies are looking to invest in and locate data center infrastructure in countries that implement similar export control regulations and frameworks to those in the United States and countries with robust cybersecurity and network security for data centers.

A. U.S. AI Companies Can More Effectively Address Diversion Concerns for Advanced Computing Items by Locating Their Advanced Computing Resources in Countries with Similar Export Control Regimes to the U.S., Like Portugal.

Given the sensitivity of advanced computing items, U.S. companies benefit from investing in data center compute capacity in countries that have similar export control regimes as the United States. To that end, Portugal's participation in numerous multilateral trade agreements alongside the United States makes it and, by extension, Start Campus ideal for housing advanced computing ICs to power U.S. advanced compute capacity.

Portugal was a founding member of the Wassenaar Arrangement in December 1995, alongside the United States.[16] Countries participating in the Wassenaar Arrangement apply export controls to a specified list of dual-use goods and technologies to contribute to regional and international security and stability.[17] Portugal is also a long-standing member of the Missile Technology Control Regime (MTCR), the Nuclear Suppliers Group (NSG), and the Australia Group (AG), which it joined in 1992, 1986, and 1985, respectively.[18] Portugal has been a member of the Australia Group from its inception, alongside Australia, Belgium, Canada, Denmark, France, Germany, Ireland, Italy, Japan, the Netherlands, New Zealand, Spain, and the United Kingdom, which are all Tier 1 countries.[19]

Additionally, Portugal's dual-use regulations align closely with those of the United States. Regulation (EU) 2021/821 governs the EU's export control regime.[20] Similar to those controls

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[16] Wassenaar Arrangement, Public Documents Vol. I: Founding Documents (Dec. 2021), https://www.wassenaar.org/app/uploads/2021/12/Public-Docs-Vol-I-Founding-Documents.pdf.

[17] Wassenaar Arrangement, About Us, https://www.wassenaar.org/about-us/.

[18] Missile Technology Control Regime, Partners, https://www.mtcr.info/en/partners; Nuclear Suppliers Group, Participants, https://www.nuclearsuppliersgroup.org/index.php/en/about/participants.

[19] Department of Foreign Affairs and Trade, The Australia Group – Participants, https://www.dfat.gov.au/publications/minisite/theaustraliagroupnet/site/en/participants.html.

[20] EUR-Lex, Regulation (EU) 2021/821 of the European Parliament and of the Council of 20 May 2021 (last visited Feb. 2025), https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02021R0821-20241108.

imposed under the U.S. export control regime and by European Tier 1 countries, the regulation requires authorization for the export of certain dual-use items.

This structure and its close alignment with U.S. export controls makes Portugal and Start Campus' SINES DC an ideal location and environment for U.S. AI companies to house their advanced compute capacity. But Portugal's exclusion from Tier 1 makes it far more challenging for U.S. companies to take advantage of this location and alignment, without forwarding U.S. national security objectives.

B. Portugal Has Taken a Harder Line Against Companies of Concern – Particularly Huawei and ZTE – Than Most Tier 1 Countries, by Banning All Huawei and ZTE Equipment from Its 5G Networks, In Alignment with the United States.

Supply chain security for data centers is an important element in addressing diversion concerns related to advanced computing ICs and AI infrastructure. For instance, under the AI Diffusion Rule, VEU applicants are required to demonstrate that they have eliminated supply chain dependencies on certain equipment and services that are deemed to pose an unacceptable risk to the national security of the U.S. or the security and safety of U.S. persons. This includes telecommunications equipment produced by Huawei or ZTE, including telecommunications or video surveillance systems provided by such entity or using such equipment.

In January 2020, the European Commission (the Commission) published the EU Toolbox on 5G cybersecurity, which was aimed at addressing risks related to the cybersecurity of 5G networks.[21] This included the recommendation to apply relevant restrictions for suppliers considered to be "high risk." On June 15, 2023, the Commission published a communication confirming that "decisions adopted by Member States to restrict or exclude Huawei and ZTE from 5G networks are justified and compliant with the 5G Toolbox. Consistently with such decisions, and on the basis of a broad range of available information, the Commission considers that Huawei and ZTE represent in fact materially higher risks than other 5G suppliers."[22]

Portugal has taken a strict line and has relied on the recommendations in the toolbox to effectively exclude Huawei and ZTE from its 5G network, in line with the United States. In May 2023, Portugal's cybersecurity council (the CSSC) adopted Resolution 1/2023 on the "high risk" to the security of 5G networks and services of using equipment from suppliers that, among other criteria, are from outside the EU, NATO or OECD and that "the legal system of the country in which they are domiciled" or connected "allows the Government to exercise control, interference or pressure over their activities operating in third countries."[23] The result of the resolution effectively bans domestic telecom operators from using equipment from Huawei, ZTE (and other suppliers who may be of concern) for Portugal's 5G networks. A new center-right government

[21] European Commission, Cybersecurity of 5G Networks: EU Toolbox of Risk-Mitigation Measures (2025), https://digital-strategy.ec.europa.eu/en/library/cybersecurity-5g-networks-eu-toolbox-risk-mitigating-measures.

[22] European Commission, Press Release on EU Security Measures and 5G Networks (Apr. 2023), https://ec.europa.eu/commission/presscorner/detail/en/ip_23_3309.

[23] Gabinete Nacional de Segurança, Deliberação n.º 1/2023 (Jan. 2023), https://www.gns.gov.pt/docs/cas-deliberacao-1-2023.pdf.

came into power in Portugal in April 2024 and has announced that it will uphold the previous administration's ban on telecom firms using Huawei equipment in their 5G networks.[24]

This framework provides U.S. companies who wish to house their advanced computing ICs in data centers in Portugal, such as Start Campus' SINES DC, with confidence that they are establishing their data center infrastructure in an environment free from equipment that presents U.S. national security concerns. Leaving Portugal out of Tier 1 prevents U.S. companies from being able to take advantage of this additional safeguard.

C. Portugal Provides an Ideal Cybersecurity Environment to Host U.S. Data Center Infrastructure, As Portugal Is Ranked Among the Top-Tier Countries in Leading Cybersecurity Indices, Outperforming Many Tier 1 European Countries.

Robust cybersecurity practices and commitments in countries that host data centers help to enable and encourage companies operating there to use advanced AI models in a manner that advances the common national security and foreign policy interests of the United States and its allies. A significant focus of the AI Diffusion Rule is AI-specific cybersecurity – the rule includes requirements that VEUs implement policies and procedures compliant with National Institute of Standards and Technology (NIST) frameworks and best practices in the National Security Agency (NSA) cybersecurity information sheet "Deploying AI Systems Securely"[25] and the Cybersecurity and Infrastructure Security Agency Insider Threat Mitigation Guide.[26] Such policies and procedures are more effective when there is buy-in from the national government on cybersecurity and the policies and procedures build upon a nationwide framework and commitment to cybersecurity.

Portugal outperforms many Tier 1 countries in Europe in leading cybersecurity indices. Portugal was recognized as a "role-modelling" country on cybersecurity in the International Telecommunications Union's (ITU) Global Cybersecurity Index in 2024.[27] In addition, Portugal ranked tenth in the National Cyber Security Index rankings, receiving particularly high marks for its cybersecurity of critical information infrastructure, cyber incident response, and offensive against cybercrime.[28] This underlying framework provides an ideal environment for U.S. companies to house their data center infrastructure and advanced computing ICs, as well as implement cybersecurity measures as required by U.S. export control regulations. Leaving Portugal out of Tier 1 makes it unnecessarily more challenging for U.S. companies to establish their data center infrastructure and advanced computing ICs in Portugal and take advantage of these robust cybersecurity measures.

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[24] European Interest, Portuguese Government Maintains Ban on Huawei 5G Equipment (Sept. 2023), https://www.europeaninterest.eu/portuguese-government-maintains-ban-on-huawei-5g-equipment/.

[25] U.S. Department of Defense, Deploying AI Systems Securely (Apr. 15, 2024), https://media.defense.gov/2024/Apr/15/2003439257/-1/-1/0/CSI-DEPLOYING-AI-SYSTEMS-SECURELY.PDF.

[26] Cybersecurity and Infrastructure Security Agency, Insider Threat Mitigation Guide (Nov. 2022), https://www.cisa.gov/sites/default/files/2022-11/Insider%20Threat%20Mitigation%20Guide_Final_508.pdf.

[27] International Telecommunication Union, GCI Report: Global Cybersecurity Index 2024 (2024), https://www.itu.int/dms_pub/itu-d/opb/hdb/d-hdb-gci.01-2024-pdf-e.pdf.

[28] National Cybersecurity Index, Cybersecurity in Portugal (2025), https://ncsi.ega.ee/country/pt/?pdfReport=1; National Cybersecurity Index, National Cybersecurity Index (2025), https://ncsi.ega.ee/ncsi-index/?order=rank.

D. SINES DC Ensures a Secure and Compliant Environment for Hosting U.S. Advanced Compute Capacity.

DKCM's Start Campus has been established with an unwavering commitment to the highest security standards – across physical, cyber, and personnel measures – in all aspects of its operations, ensuring a secure and compliant environment for hosting U.S. advanced computing ICs of its customers.

Start Campus is fully backed by U.S. funds, with no involvement from entities in Country Group D:5, ensuring complete U.S. control and governance. This operational independence extends across all facets of the facility: no personnel, contractors, or service providers from Country Group D:5 are part of its operation, maintenance, or management. All critical hardware, software, and infrastructure is sourced exclusively from non-affiliated vendors, in compliance with Section 2 of The Secure Networks Act. With ISO27001 compliance obtained and NIS2 certification underway, Start Campus has no exposure to the legal or data jurisdiction of any Country Group D:5 nation. Additionally, Start Campus's network and connectivity are secure, with no routing through infrastructure controlled by Country Group D:5, and partnerships with network service providers (NSPs) are thoroughly vetted.

More broadly, Start Campus takes a comprehensive approach to compliance, applying thorough Know Your Counterpart (KYC) processes to all stakeholders it engages with – this includes customers, suppliers, contractors, consultants, service providers, and more broadly, any business partners. The due diligence process is rigorous, with detailed verification of business registration, corporate structure, tax compliance, shareholder details, and Ultimate Beneficial Owners (UBOs) for all involved parties. Furthermore, Start Campus conducts in-depth financial and legal standing reviews, examining audited financial statements, credit ratings, solvency ratios, and any ongoing or pending legal proceedings. These measures ensure that all partners adhere to the highest standards of transparency, financial health, and legal compliance, further strengthening the integrity of the entire operations.

Leaving Portugal out of Tier 1 makes it more challenging for U.S. companies to access secure, reliable advanced compute infrastructure, limiting their ability to leverage a fully independent, compliant environment for critical AI and data-driven operations.

E. The DKCM-Owned Start Campus' Data Center in Portugal Is Strategically Located for the U.S. AI Industry as Its Geographic Location and Secure Environment Provides Robust Safeguards Against Diversion and Misuse of Advanced Models.

U.S. companies looking to invest or deploy advanced compute in data centers overseas benefit from data center locations that can provide robust physical and logical security, both to adhere to U.S. regulatory requirements and to ensure the security and reliability of their data center compute capacity. Subsea cables are critical to connecting these U.S. companies to advanced compute capacity housed abroad. However, in recent years, the security of these cables has been called into question following damage to critical subsea cables in the Baltic Sea.[29]

Start Campus' SINES DC location in Portugal not only provides U.S. industry with a much more geographically secure location from potential subsea cable interference, given the proximity of both mainland Portugal and the Azores Islands to the U.S., but this geographic security is also supported by Portugal's commitment to ensuring the security of subsea cable networks. In September 2024, Portugal, along with Finland, France, the Netherlands, and the United Kingdom (all Tier 1 countries) "endorsed a U.S.-led joint statement . . . on undersea cable security and resilience, emphasizing the importance of 'secure and verifiable subsea cable providers for new cable projects.'"[30]

U.S. companies are already taking advantage of Portugal's proximity to the United States and its strong commitment to subsea cable security and resilience. A subsea cable connecting the U.S. and Portugal can lay solely within U.S. and Portuguese territorial water, Exclusive Economic Zone (EEZ), and the high seas – there is no risk from transiting a third country's waters. In July 2024, Google applied to the Federal Communications Commission (FCC) to build and operate a 6,900-kilometer-long subsea cable (the *Nuvem* cable) linking the United States to Bermuda, the Azores Islands, and mainland Portugal,[31] establishing a secure, direct connection between the United States and Portugal, and providing a safe alternative to North Atlantic subsea cables. Indeed, the majority of subsea cable capacity connecting to Portugal are U.S.-led initiatives.

Strategically positioned at Europe's westernmost edge and well connected, Portugal is emerging as a priority hub for absorbing surging U.S. network traffic demand. Leaving Portugal out of Tier 1 makes it more challenging for the U.S. AI industry to take advantage of the secure ecosystem and location of Portugal, SINES DC, and the broader safeguards against data center interference available to them in Portugal.

VII. Conclusion

DKCM respectfully submits that the exclusion of Portugal from Tier 1 will not advance U.S. national security interests. Instead, the associated "burdensome requirements" will "hamper private sector AI innovation" needed to "sustain and enhance America's AI dominance." Additionally, Portugal's exclusion from Tier 1 will have negative effects on U.S. leadership and competitiveness in science, technology, engineering, and manufacturing and will deprive U.S. companies of a safe, secure location to house their advanced compute capacity. Ultimately, these burdensome restrictions on Portugal and, by extension, Start Campus and DKCM, will be detrimental to U.S. national security and U.S. technology leadership, particularly in the AI sector.

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[29] Carnegie Endowment for International Peace, Securing Europe's Subsea Data Cables (Dec. 2024), https://carnegieendowment.org/research/2024/12/securing-europes-subsea-data-cables?.

[30] *Id.*

[31] Google Asks to Lay Transatlantic Subsea Cable to Link U.S. to Portugal, The Herald News, July 5, 2024, https://www.heraldnews.com/story/news/local/ojornal/2024/07/05/google-asks-to-lay-transatlantic-subsea-cable-to-link-u-s-to-portugal/74310429007..